SPONSOR: Sen. Hansen & Rep. K. Johnson
Sens. Hoffner, Seigfried, Sokola, Townsend; Reps. Chukwuocha, Heffernan, Lambert

DELAWARE STATE SENATE
153rd GENERAL ASSEMBLY

SENATE BILL NO. 129

AN ACT TO AMEND TITLE 16 OF THE DELAWARE CODE RELATING TO PRESCRIPTION OPIOID FUNDS AND LITIGATION AUTHORITY.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend Section 4802B, Chapter 48B, Title 16 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

(10) “Statewide opioid settlement agreement” means an agreement, including consent judgments, consent decrees filed or unfiled, and related agreements or documents, between this State, represented by the Department of Justice, and certain opioid manufacturers, distributors, dispensers, consultants, chain pharmacies, related entities, related individuals, any entities controlled by such individuals, or the subdivisions of this State, to provide or allocate remuneration for conduct related to the manufacture, promotion, dispensing, sale, or distribution of opioid products.

Section 2. Amend Section 4809B, Chapter 48B, Title 16 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

No government entity has the authority to assert released claims after February 28, 2021 against entities, individuals or other persons released by the Department of Justice in a statewide opioid settlement agreement executed by the Attorney General and the released party.

SYNOPSIS

Senate Bill 166, passed in 2022, created the Prescription Opioid Impact Fund as part of an overall structure that would both maximize the monies paid by settling Opioids defendants to Delaware and to create a structure whereby those settlement monies could be managed and distributed on a statewide basis through a stakeholder-informed process. The complete legislation is found at Title 16 of the Delaware Code, Chapter 48B, Sections 4801B through 4809B. Chapter 48B applied to settlements with entities, and did not apply to bankruptcies. This is because the bankruptcy process itself extinguishes claims and thus provides the necessary “global peace” for settling parties. At the time SB 166 was passed, it was contemplated that, in the context of the Purdue Pharma bankruptcy, the Sackler family members would obtain this type of bankruptcy-style discharge and release. However, in the summer of 2024, the United States Supreme Court ruled that such a discharge was impermissible. This decision thus required that the states negotiate a non-bankruptcy settlement with the Sacklers, which the Delaware Department has since been pursuing diligently.

As announced on January 23, 2025, the Delaware Department of Justice has reached a proposed settlement-in-principle with Purdue Pharma and the Sackler family. In order to once again maximize the amount of Sackler money that Delaware will receive, it is now necessary to update the statutory bar created by the SB 166 to account for the fact that the Sackler family members are “individuals” not “entities." Consequently, the Delaware Department of Justice is recommending the amendments to Chapter 48B of Title 16 reflected in this Act.

Author: Senator Hansen